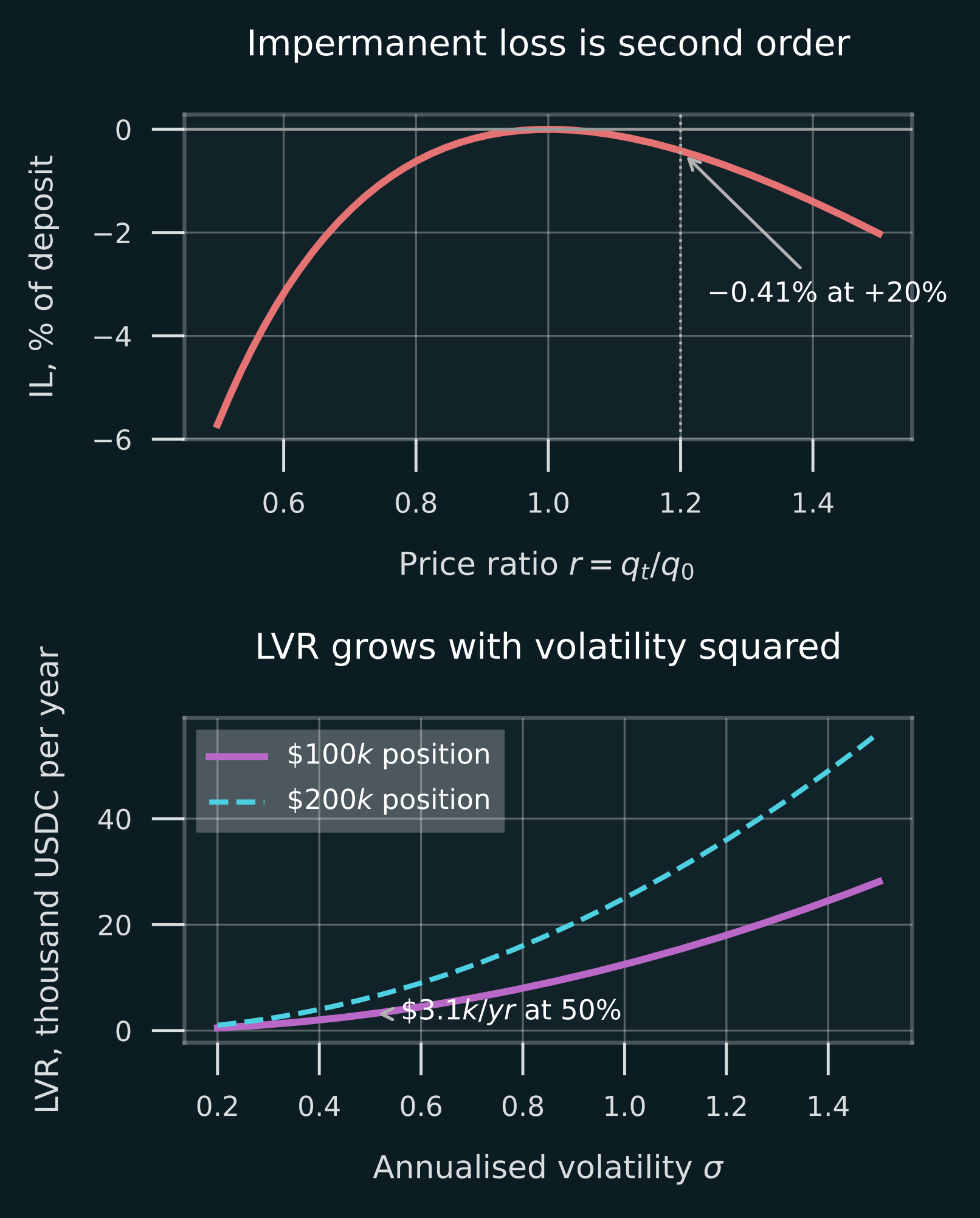
Impermanent loss is second order
IL, % of deposit
0
−2
−4
−6
−0.41% at +20%
0.6
0.8
1.0
1.2
1.4
Price ratio $r = q_t/q_0$
LVR grows with volatility squared
LVR, thousand USDC per year
$100k position
$200k position
40
20
0
$3.1k/yr at 50%
0.2
0.4
0.6
0.8
1.0
1.2
1.4
Annualised volatility $\sigma$